Devil lives in the details.

A. Marx, Karl. [1969] 1976. "Chapter 2. The Process of Exchange." Pp. 178–87 in *Capital. A critique of political economy*. Vol. 1. New York: Penguin Books.

Marx was tracing the determinants of the exchange process *particular for the bourgeois society*, in its initial conditions. Which begins with the social movement of commodities, by one side, and money in the other extreme of exchange relations.

The first distinction presented by Marx as a determinant of the exchange process of the bourgeoisie society is the differentiation between the commodity and the bearer. For the [bearer] his commodity possesses no direct use-value [[KV1C2P179L13]]. For himself, its only use-value is as mean of exchange [[KV1C2P179L15]].

The second, is the determination of a universal equivalent as a consequence of the expansion of the exchange process. From the perspective of the individual, each of the bearers treats his own commodity in exchange as the universal equivalent for all other commodities.

The third one corresponds to the transformation of gold, the money-commodity, into monetarized capital. In the transition between the exchange of use-values, and the exchange of commodities, there is a determinant detail. And more than a detail, the particularity of the exchange process, an original mistake, a social accident, acted first then thought, to treat something, that is not for being appropriated as a commodity, as if it was a commodity.

The determinants of the exchange process are rooted in the history of the formal social movement of the commodities, because the exchange of use-values in upward scale-shift,

requires a relative form of value reached by social accident by one commodity which is both commodity and money: gold, and also other precious metals in history, were fixed as universal equivalents [[KV1C2P180L24]].

By the escalation of its compulsive subsumption over circulation as determinant of the: "need to give an external expression to this opposition [between use-value and value which is latent in the nature of the commodity] *for the purposes of commercial intercourse* produces the drive towards an independent form of value, which finds neither rest nor peace until an independent [value] form "independent from its own use-value" [[KV1C2P182L34]] has been achieved by the differentiation of all commodities into commodities and money. Therefore, the use-value of something is distinguished from its usefulness as a means for exchange [[KV1C2P187L9]].

That movement, historically produced the accumulation of gold, and in the same rate: "gold or silver, in its crude state, becomes immediately, on its emergence from the bowels of the earth, the direct incarnation of all human labour" [[KV1C2P187L18]]. In the exchange process, the capitalist as bearer of that commodity-money purposely treats *something* as the "chief element of indigenous *alienable wealth*" [[KV1C2P183L18]], as if it don't have use-value outside its exchange-value form. Fixing its use as a mean of exchange, appearing in the process of exchange as a sign of magnitude for the quantitative equivalence of the exchange-value form of all the commodities, as the universal equivalent commodity under certain scale of circulation. Why the *indigenous alienable wealth* became gold and silver, and aren't anymore nor cattle neither slaves? Is because gold and not the slave was already

the social form of money when the "discovery" of silver and gold mines of America occurred[1].

Gold mining was already a branch of production centralized in the hand of capitalist production, before, during, and after the transition of mercantile capital into industrial and finance capital. So, the social accident of the expanded circulation of gold-money as capital and mainly the decision to use it as a means for exchange, as universal equivalent, is not an accident for the individual gold bearer who as bearer of the money-commodity want to exchange every other commodity avoiding alienating his money-gold in the process of exchange as an exchange-value.

The historical expansion and intension of the process of exchange is the process of taking everything that is possible as *something* (LCWV38P108L17) to appropriate, as if it was a commodity, with the purpose of appearing as its owner as an exchange-value, seeking to receive an equivalent exchange-value in the form of the most circulated exchange-value as mean of payment.

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[1] Where the exchange process operates dominated by the scale of circulation of the commodity in which money found its elementary form as exchange-value: by the scale of circulation of gold. Partially, because of its unique useful physical properties as a means for the exchange of commodities, but mainly because of its role or social form as universal equivalent commodities during the historical juncture of the interstate monetary system formation connoted by the possibility opened by colonization using the methods of accelerated accumulation brought out from the applied methods of primitive accumulation in the colonization of the gold hubs of Middle East between the XI and XIII century, specifically from the colonial mining production oriented to the purchase and/or domination of the other commodity-money currencies in circulation (silver and copper). Allowing, then, the development of an interstate credit system for the European modern states, wealthy enough in the existences of commodity-money, to develop the enterprise of colonization since the beginnings of the XVI century which accelerated the original expanded accumulation of capital correspondent to the scale of circulation of capital. The scale of expanded reproduction increases territorially, with imperialism, as a mean for the extension of capitalists production of commodity-capital for profit accumulation, by the colonization of the territories under other modes of production and distribution, by appropriating the surplus-value of the commodity production mediated by its certain money-capital form, and realizing it as profit under a mode of distribution in which the exchange value is realized under the money-form currency correspondent to the capital on which profits are accumulated. So, European mercantile capital produced by colonial mining, mainly silver. But with the silver sale to China they bought gold, dominating directly its exchange value.

With the liberalization of gold price, since 1971, the total monetary system debased the coinage of money from its elementary form. As if in that manner, the use-value of gold as the socially formed universally equivalent, would be suppressed, and replaced by certain specific currency USD, fixed by an hegemonic arrangement relying only on U.S. hegemony, which first source is not consent, nor custom, but domination. But otherwise, rising the value price of gold, at a point in which is expressing a rising quantitative equivalence to the exchange value expressed in "the direct incarnation of all human labour" [[KV1C2P187L18]] by which "their social process of production in a purely atomistic way" [[KV1C2P187L20]] "assume a material shape which [appropriation] is independent of their control and their conscious individual action" [[KV1C2P187L22]].

"The difficulty lies not in comprehending that money is a commodity, but in discovering how, why and by what means a commodity becomes money." [[KV1C2P186L24]]

B. Marx, Karl. [1969] 1976. "Chapter 3. Money, or the Circulation of Commodities." Pp. 188–244 in *Capital. A critique of political economy*. Vol. 1. New York: Penguin Books.

"The expression of the value of a commodity in gold is its money-form or price" [[KV1C3P189L1]].

"The price or money-form of commodities is, like their form of value generally, quite distinct from their palpable and real bodily form; it is therefore a purely ideal or notional form" [[KV1C3P189L21]].

"In its function as measure of value,'money therefore serves only in an imaginary or ideal capacity. […] But, although the money that performs the functions of a measure of value is

only imaginary, the price depends entirely on the actual substance that is money" [[KV1C3P190L6]].

"As measure of value, and as standard of price, money performs two quite different functions. It is the measure of value as the social incarnation of human labour; it is the standard of price as a quantity of metal with a fixed weight. As the measure of value it serves to convert the values of all the manifold commodities into prices, into imaginary quantities of gold; as the standard of price it measures those quantities of gold. The measure of values measures commodities considered as values; the standard of price measures, on the contrary, quantities of gold by a unit quantity of gold, […] a certain weight of gold […] fixed as the unit of measurement" [[KV1C3P192L5]].

"Price is the money-name of the labour objectified in a commodity" [[KV1C3P195L20]].

"The price-form therefore implies both the exchangeability of commodities for money and the necessity of exchanges. On the other hand, gold serves as an ideal measure of value only because it has already established itself as the money commodity in the process of exchange" [[KV1C3P198L8]].

The process of exchange finishes in the realization of commodities as exchange-values. So, it is by consumption, which for the particular formation of interest (bourgeois society) is realized with the payment of the commodity price (C): as the magnitude of the general measure of the exchange value for every commodity produced by, for, and as, capital [[KV1C3P255L10]].

"The process of exchange is therefore accomplished through the following changes of form: Commodity-Money-Commodity (C-M-C)" [[KV1C3P200L21]].

"The division of labour converts the product of labour into a commodity, and thereby makes necessary its conversion into money. At the same time, it makes it a matter of chance whether this transubstantiation succeeds or not" [[KV1C3P203L3]].

By the realization of the exchange process, by the purchase of a commodity, the use-value produced as a commodity for capital reproduction can be appropriated. Indeed, the circulation of the commodities and its transubstantiation into money, differentiates in their scale of exchange. The chance or social accident by which the circuit M-C-M' is obstructed mediate between the necessary conversion of commodities into money.

"But what is the commodity exchanged for? For the universal shape assumed by its own value. And what is the gold exchanged for? For a particular form of its own use-value" [[KV1C3P203L17]].

The particular form of gold use-value, which Marx is referring to is the standard of price, which is a fixed weight of gold (i.e. an ounce of gold) operating as the unit of expression shared by their comparable magnitudes of price [[KV1C3P192L5]].

"The commodity is divested of its original form through its sale, i.e. -the moment its use-value actually attracts the gold, which previously had a merely imaginary existence in its price. The realization of a commodity's price, or of its merely ideal value form, is therefore at the same time, and inversely, the realization of the merely ideal use-value of money; the conversion of a commodity into money is the conversion - of money into a commodity. This single process is two-sided: from one pole, that of the commodity-owner, it is a sale, from the other pole, that of the money-owner, it is a purchase. In other words, a sale is a purchase, C-M is also M-C" [[KV1C3P203L22]].

"M-C, a purchase, is at the same time C-M, a sale; the concluding metamorphosis of one commodity is the first metamorphosis of another" [[KV1C3P205L27]].

"As a matter of fact, the money is only the representation in real life of the quantity of gold previously expressed in the imagination by the sum of the -prices of the commodities. It is therefore self-evident that these two quantities are equal. We know however that, the values of commodities remaining constant, their prices vary with the value of gold (the material of money), rising in proportion as it falls, and falling in-proportion as it rises" [[KV1C3P213L17]].

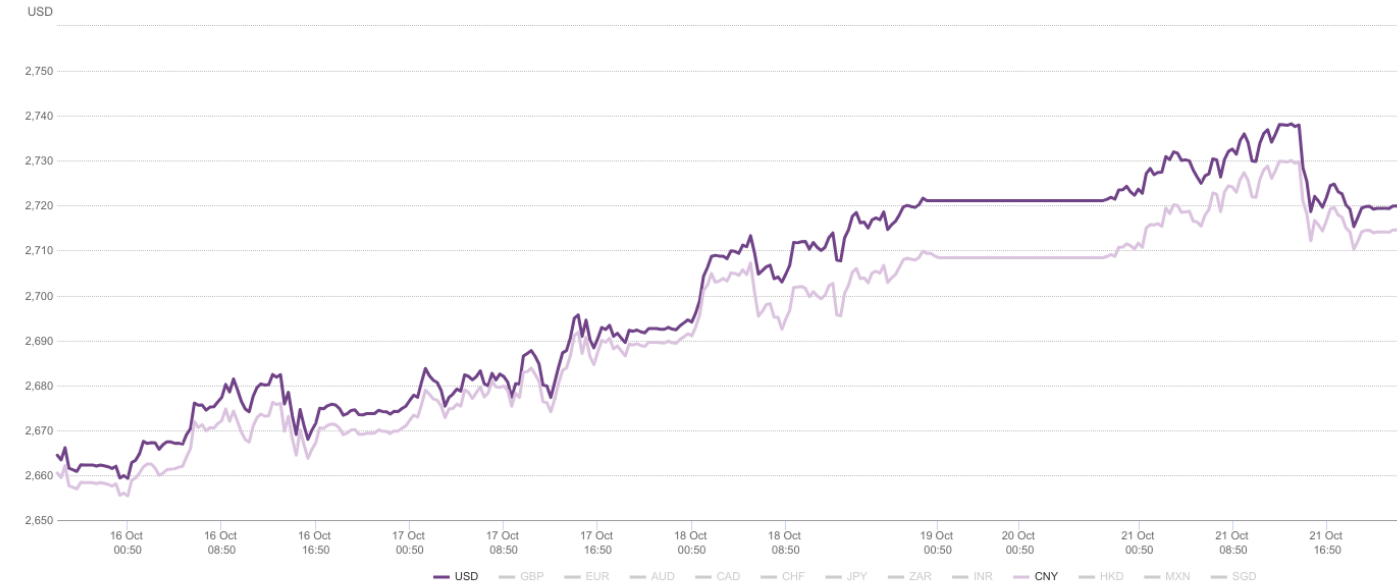
"First the price of the commodities varies inversely as the value of the money, and then the quantity of the medium of circulation varies directly as the price of the commodities" [[KV1C3P213L30]].

"Money takes the shape of coin because of its function as the circulating medium. The weight of gold represented in the imagination by the prices or money-names of the commodities has to confront those commodities, within circulation, as coins or pieces of gold of the same denomination" [[KV1C3P221L1]].

"The weight of gold fixed upon as the standard of prices diverges from the weight which serves as the circulating medium, and the latter thereby ceases to be a real equivalent of the commodities whose prices it realizes" [[KV1C3P222L15]].

"The fact that the circulation of money itself splits the nominal content of coins away from their real content, dividing their imetallic existence from their functional existence, this fact implies the latent possibility of replacing metallic money with tokens made of some other material, i.e. symbols which would perform the function of coins" [[KV1C3P222L27]].

At present, the historical juncture appears as critical. The BRICS Summit of state leaders, and the IMF and World Bank annual meeting, will take place on Kazan and Washington respectively, one week before the November 5th, 2024, U.S. presidential elections. The hegemony of the U.S. dollar over the financial system as a target, defines a situation that can require a different solution. Like the treatment of gold as two different universal equivalents, defining two scales of circulation defined by the Chinese gold adding the gold reserves of Russia in a different gold reserve than the IMF SDRs, and by implication the remaining circuit of circulation of American and European capitalists will be significantly reduced, diminishing the price of the USD, with a detrimental effect on its rates of surplus value, profit and super-profit, because of its displacement by the Chinese Yuan (CNY) as universal equivalent, and by weighted Chinese gold as its specific equivalent, in the economies with significant circulation of CNY. The results of both meetings tend to a determination, by institutional change, of the world political economy of imperialism, in its international division of labor, in the geo-economic war on Gaza and Ukraine, and impact the results of the U.S. ballot.



Data as of 21 October, 2024

Market Data: Provided by ICE Data Services. More information
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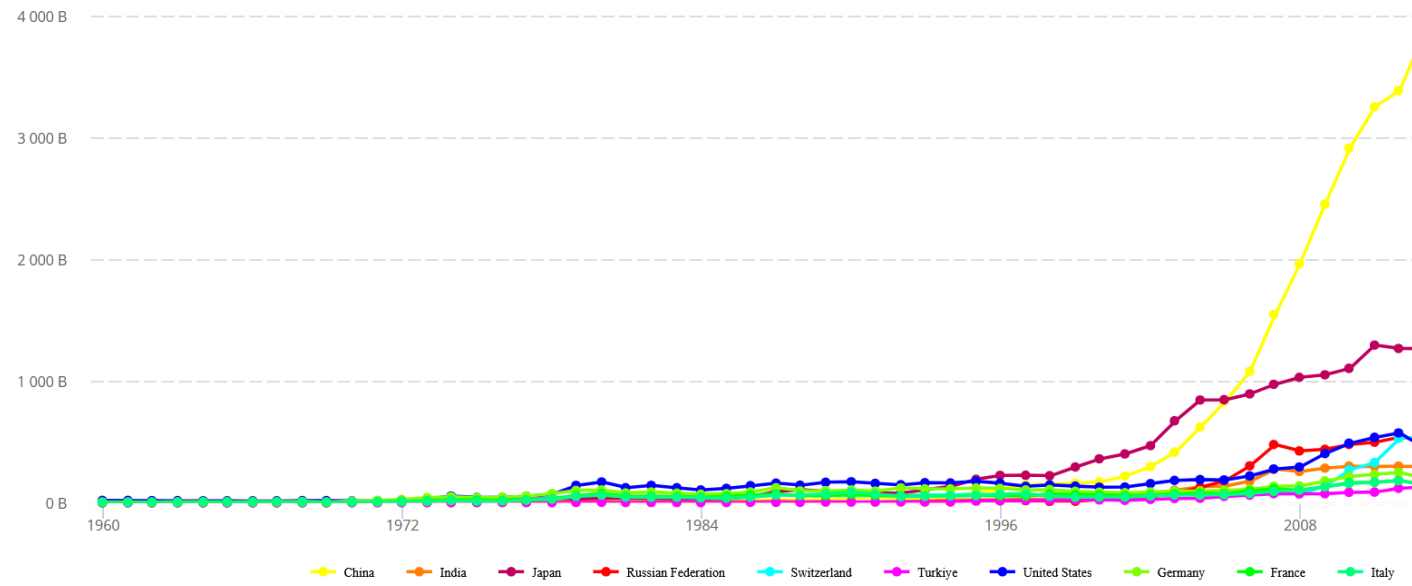
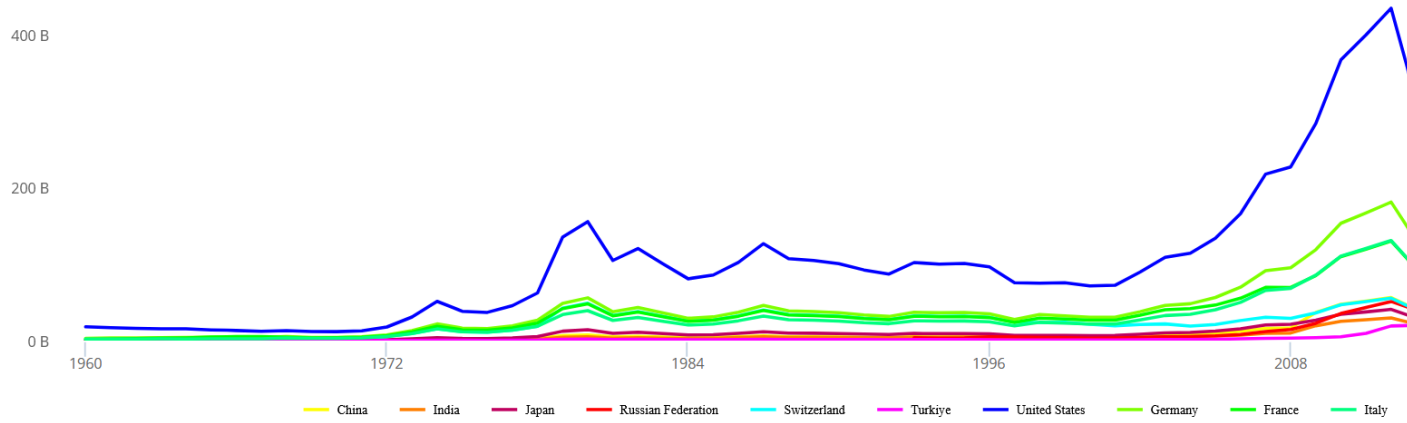
Figure 1. Historical gold prices since January 2, 1980 to October 22, 2024 in USD and CNY.



Total reserves comprise holdings of monetary gold, special drawing rights, reserves of IMF members held by the IMF, and holdings of foreign exchange under the
gold component of these reserves is valued at year-end (December 31) London prices. Data are in current U.S. dollars.
Created from: World Bank, World Development Indicators

Figure 2. Total monetary national reserves measured in USD for the ten main gold hoarding states, 1960-2023.



The indicator Total reserves in gold-money-capital was created by the author to account for the Total capital reserve funds in gold-money-capital at U.S. current do
reserves in gold-money-capital = Total reserves - Total reserves (minus gold). Total reserves comprise holdings of monetary gold, special drawing rights, reserves o
holdings of foreign exchange under the control of monetary authorities. The gold component of these reserves is valued at year-end (December 31) London prices
Total reserves minus gold comprise special drawing rights, reserves of IMF members held by the IMF, and holdings of foreign exchange under the control of monet
excluded. Data are in current U.S. dollars.
Created from: World Bank, World Development Indicators

Figure 3. Total gold national reserves of the ten main gold hoarding states, 1960-2023.